FREE FINANCING REPORT

Day Care & Child Care Financing Report

Why This Sector Attracts Specialized Capital, What the 2026 Environment Looks Like, and the Metrics That Drive Approvals

Prepared by K2 Commercial Finance

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Why Sponsors Pursue Day Care & Child Care Financing

Day care and child care properties combine a durable, recession-resilient operating business with real estate that institutional and private capital alike have grown increasingly comfortable financing. That combination — stable demand plus a growing, well-defined lending market — is exactly why a dedicated financing track has emerged around this asset class.

- **Recession-resilient demand.** Parents need child care regardless of broader economic cycles, giving lenders real confidence in the durability of tuition-driven cash flow.
- **Purpose-built SBA programs.** SBA 504 and 7(a) loans are structured specifically for small-business owner-occupied real estate like child care centers, offering low down payments, fixed rates, and long amortization.
- **Institutional capital is actively consolidating the sector.** National operators, regional platforms, and education-focused family offices are competing for well-run centers, keeping the buyer and lender pool broad.
- **Investor demand for the real estate itself remains strong.** Cap rates in the mid-to-high 6% to low 7% range reflect durable, low-capex investor appetite for well-located, well-leased centers.
- **Dual value creation.** Owner-operators can build value in both the operating business and the underlying real estate simultaneously, which lenders comfortable underwriting both sides find genuinely attractive.

That said, lenders underwrite the licensed operating business as closely as the real estate. Declining enrollment, licensing issues, or an inexperienced operator will stall a request regardless of how strong the property or location looks.

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2026 Market Outlook for Day Care & Child Care Financing

The child care sector is bifurcating in 2026: headline provider counts are softening in many states even as well-run centers and institutional real estate see strong, disciplined demand. The following figures outline where the market stands:

- The number of licensed child care centers declined year-over-year in roughly half of all U.S. states, led by Montana (−5.9%) and North Carolina (−4.1%), while Idaho saw the largest center growth (+7.7%) but maintains the lowest average enrollment per center (35.6 children) — a sign the market is fragmenting rather than moving uniformly.

  Source: Child Care Aware of America, 2026 Study, based on licensed-provider data collected December 2025–March 2026

- Capacity remains heavily concentrated by state: Texas center-based providers now have the capacity to serve more than 1.1 million children, while California follows with 769,167 center-based slots plus another 318,845 slots across 29,693 home-based providers.

  Source: Child Care Aware of America, 2026 Study

- Cap rates for child care real estate held in a tight band: the median across 370 recently sold transactions was 7.11%, with asking cap rates near 7.0% across 284 active listings; corporate-guaranteed brands such as KinderCare (6.67%) and Kiddie Academy (6.46%) traded tighter than independent or franchisee-operated centers such as Primrose Schools (7.20%).

  Source: Little Scholars Real Estate, childcare cap rate data, 2026

- Operating-business valuations are stratifying sharply by scale: single-location independents are trading at 2x to 4x EBITDA, while institutional platforms of 20 or more centers command 6x to 9x EBITDA, with licensed-capacity utilization of 85% to 92% (with waitlists) and NAEYC accreditation each driving meaningful premiums.

  Source: CT Acquisitions, Daycare Business Valuation, 2026

- The active buyer pool remains broad and well-capitalized: national consolidators (KinderCare, Bright Horizons, Learning Care Group), regional operators, education-focused family offices, and individual SBA-financed buyers are all competing for well-run centers, sustaining strong demand for financeable deals.

  Source: CT Acquisitions, Daycare Business Valuation, 2026

- SBA 504 remains a primary financing vehicle for owner-users, typically structured as a 50% conventional first mortgage, a 40% SBA-backed second, and a 10% borrower down payment, at a fixed rate over 10- to 20-year terms, up to a $5.5 million project ceiling.

  Source: SBA 504 loan program guidelines, 2026

Bottom line for 2026: Despite softening provider counts in many states, the child care financing market is not weakening uniformly — it is bifurcating. Well-run, well-located centers with strong utilization, clean licensing, and experienced operators continue to command premium cap rates and valuation multiples, while marginal operators and declining-enrollment markets are seeing real distress. Lenders are underwriting

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Critical Financing Metrics for Day Care & Child Care Properties

Lenders in this space underwrite the licensed operating business as closely as the real estate. The following metrics most often determine whether a request moves forward:

1. **Licensed Capacity Utilization**

   Enrollment measured against the facility's licensed capacity. Centers running at strong utilization, especially with active waitlists, trade and finance at the high end of their category. **85%–92%+ favorable; below ~75% draws scrutiny**

2. **Operator Experience**

   Documented track record operating or managing licensed child care facilities. First-time operators without relevant experience typically face materially more conservative terms.

3. **Tuition Revenue and Enrollment Trend**

   Stability or growth in tuition revenue and enrollment over the trailing 12 to 24 months. A declining trend is one of the fastest ways to lose lender confidence.

4. **Debt Service Coverage Ratio (DSCR)**

   Net operating income measured against total annual debt service, broadly comparable to other owner-occupied small-business real estate. **1.25x typical minimum**

5. **Licensing and Regulatory Compliance**

   A clean history of state and local licensing, with no unresolved violations, is foundational. Lapsed or incomplete licensing is one of the most common reasons files stall.

6. **Loan-to-Value / Loan-to-Cost**

   For SBA 504 structures, this typically works out to combined leverage of a conventional first mortgage plus an SBA-backed second, with a borrower down payment.

   ~90% combined (50% conv. + 40% SBA + 10% down)

7. **Accreditation and Quality Rating**

   NAEYC accreditation or a strong state Quality Rating and Improvement System (QRIS) score. Beyond supporting parent demand, accreditation is a recognized valuation driver and a positive underwriting signal.

These metrics form the practical filter that separates day care and child care financing requests that get funded from those that stall in underwriting.

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Practical Framework & Getting It Right the First Time

Pre-Submission Checklist

Before approaching lenders, confirm:

- [ ] Business financial statements and tax returns (typically 2 to 3 years) are organized and current
- [ ] Enrollment/occupancy history and tuition revenue trends are documented
- [ ] Current state and local child care licenses are in good standing
- [ ] Licensed capacity and current utilization are clearly documented
- [ ] Operator experience or a resume in child care or early childhood education is prepared
- [ ] Property details (classrooms, outdoor play areas, safety features, zoning) are confirmed and complete
- [ ] Existing debt schedule, entity documents, and organizational structure are ready
- [ ] Personal financial statements and credit information for owners/guarantors are current

Common Reasons Day Care & Child Care Financing Requests Underperform or Get Declined

- Incomplete, lapsed, or unresolved licensing documentation
- Declining or unstable enrollment and tuition revenue
- Insufficient operator experience in licensed child care
- Thin cash flow relative to proposed debt service
- Submitting to lenders unfamiliar with child care or SBA-structured financing

Final Perspective

Day care and child care financing sits at an interesting point in 2026: provider counts are softening in many states, yet well-run centers and their real estate continue to attract disciplined, competitive capital — from SBA-financed owner-operators up through institutional consolidators. The sector rewards operators who can prove it, not just describe it.

High-level knowledge of how these loans work is valuable. Turning that knowledge into a funded transaction still requires the right preparation and the right lending relationships.

Getting it right the first time matters. Incomplete licensing documentation, unstable enrollment, and mismatched lenders are among the most common reasons otherwise solid day care and child care financing requests lose time, money, and momentum.

YOUR NEXT STEP

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